

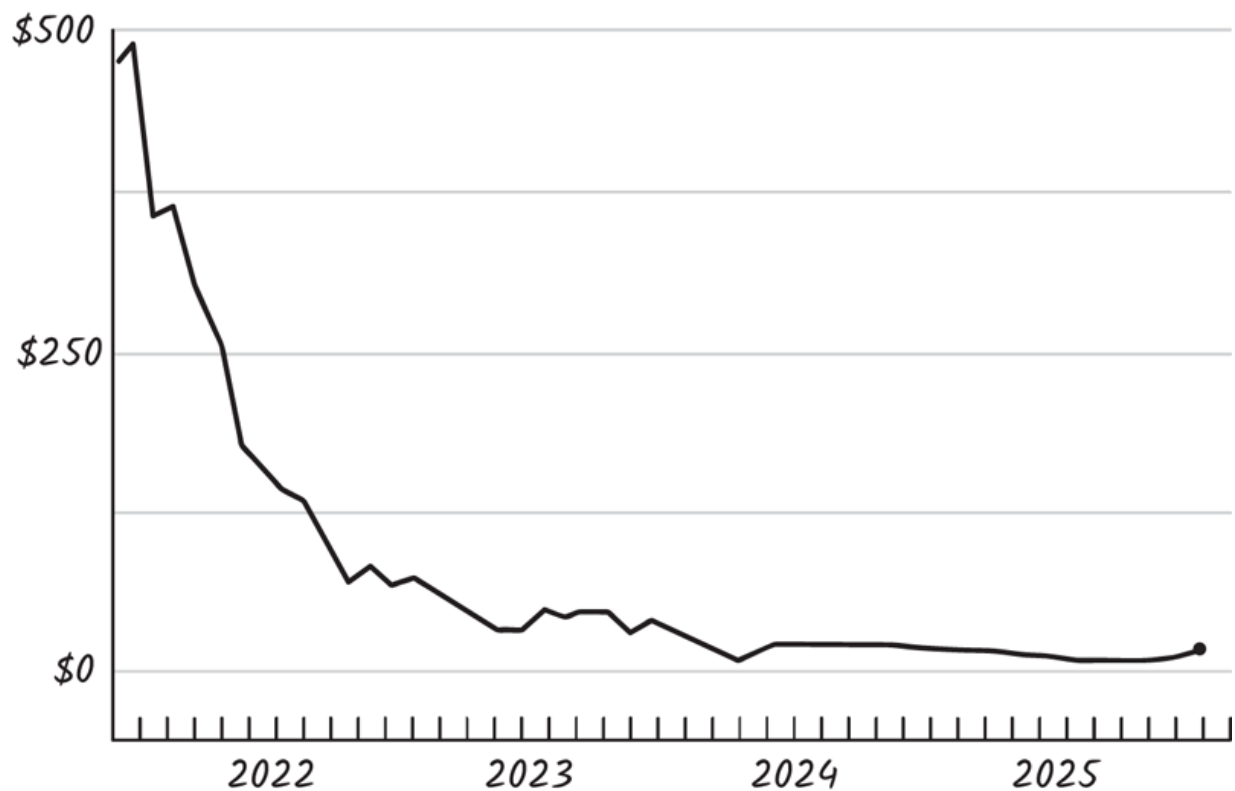


Figure 12.3: Oatly's IPO

In November 2021, Oatly had a quality issue causing it to throw out some products. They also ran into production shortages due to technical issues — and if that wasn't enough, driver shortages delayed the delivery of the product into stores. Talk about a bad start.

A rule of thumb is to never invest in an IPO solely based off public attention or hype. (Oatly was branded as 'Oprah-backed' due to the support of the widely popular talk show host, among an array of high-profile figures, such as Natalie Portman and Jay Z.)

Was Oatly just a bad ... oat?

Not really. A 2018 report by Dimensional Fund Advisors looked at the performance of over 6000 US IPOs from 1991 to 2018, and found that in their first year they tended to underperform their industry's benchmarks. They weren't even average.